

Title 45

Towns and Cities

Chapter 12

Indebtedness of Towns and Cities

R.I. Gen. Laws § 45-12-2

§ 45-12-2. Maximum aggregate indebtedness.

Except as provided in § 45-12-11, no city or town shall, without special statutory authority, or ministerial approval as provided for in § 45-12-2.1 incur any debt for money borrowed which would increase its aggregate outstanding principal indebtedness not excepted by law from the provisions of this section to an amount greater than three percent (3%) of the full assessed value of the taxable property within the city or town, but the amount of any borrowing in anticipation of taxes which is authorized or validated by § 45-12-4, and the amount of any fund held on account to pay such outstanding indebtedness shall be deducted in computing that indebtedness. In computing the value of taxable property for purposes of this section motor vehicles and trailers shall be valued at full value and without regard to the assessed value reductions provided for in § 44-34.1-1 [repealed]. Any city or town may, without special statutory authority, incur debt to an aggregate amount, as with the other outstanding indebtedness of the city or town not deductible under the foregoing provisions, which shall not exceed the limitation contained in this section.

History of Section.

G.L. 1896, ch. 36, § 21; G.L. 1909, ch. 46, § 21; G.L. 1923, ch. 47, § 22; P.L. 1930, ch. 1617, § 1; P.L. 1932, ch. 1944, § 1; G.L. 1938, ch. 329, § 25; P.L. 1945, ch. 1663, § 1; G.L. 1956, § 45-12-2; P.L. 2007, ch. 252, § 1; P.L. 2007, ch. 292, § 1.